This also tended to preserve family wealth, for land was not easy to dissipate. You could sell it. You could mortgage it. Otherwise, it stayed put. It passed from one generation to the next naturally and easily. Rarely was there a "liquidity event" that opened the door to lifestyle enhancements.

The advent of more portable capital—shares, bonds, partnership interests, and so forth—also brought new ways for families to hold and manage their newly created riches. Corporations evolved. So did trust arrangements. And private bankers, family offices, wealth managers, and many other service providers. These, along with stockbrokers, luxury salesmen, yacht dealers, art mongers, and other professionals, offered new opportunities to invest and/or squander family fortunes. A liquidity event (typically, selling the family enterprise after the death of its founder) brought them round like bees to a cracked watermelon. Too often, the more they helped manage the family's newfound liquid wealth, the faster it disappeared!

THE TAX "SOLUTION"

In the twentieth century, also, another type of "solution" to the problem of holding and passing along family money arose: taxes. Seeing so much wealth building up in private hands, the government found it convenient to take some of it away. In America, there were no income taxes until 1913. At first, the government was fairly restrained about it. The top marginal rate was only 7 percent when it was first imposed. And it was applied only to people who had more than $500,000 in income—or about $12 million in today's dollars.

It was a tax on only the very rich.

Once the idea of taxing the rich took hold, people became quite enthusiastic about it. Taxes on the rich in Britain, for example, rose to over 90 percent of income in the 1960s. This created the "flight of the millionaires," which saw the British film industry, for example, flee to Hollywood and the Rolling Stones decamp for the South of France.

Which shows how much things have changed. Few people would go to the South of France today for tax reasons. The French soon joined, then surpassed, the English in taxing the rich.